

April 30, 2026 04:45 AM GMT

Microsoft | North America

3Q26 Results – Onto Newer and Better Things

Reaction to earnings

Strengthens our thesis
Impact to our thesis

↑ Modest upside
Financial results versus consensus

↑ Modest revision higher
Direction of next 12-month
consensus EPS

Source: Company data, Morgan Stanley Research

Agentic computing fundamentally expands the TAM, with usage based pricing expanding the monetization of that TAM, while Microsoft uses AI to improve the margin profile. While investors may bristle at the Capex levels necessary to service this TAM, we see it as a wise investment. Remain OW.

Key Takeaways

- Outperformance across all three business segments enabled overall revenues to exceed consensus by ~2% and drove 15% cc growth.
- Two key product lines – M365 Commercial Cloud and Azure – accelerated in the quarter, beating consensus, with management looking for further acceleration ahead
- Operating margins at 46.3% exceeded consensus by 100 bps and grew 60 bps YoY, on the back of flat headcount and improving efficiencies in AI workloads
- While Q4 targets for PBP and IC exceeded consensus, a weakening PC market left MPC (and overall revenues) below consensus, with \$0.12 below at the midpoint.
- With ramping demand compounded by higher component costs, Microsoft gave a target for CY26 capex well ahead of consensus – \$190 billion versus \$156 billion.

Expanding the Opportunity, Expanding the Monetization and Expanding the

Margins. Revenue upside across all three segments, drove almost 2% upside to total revenues – growing 15% YoY in constant currency (cc) at a \$332 billion annualized run-rate. Microsoft Cloud revenues grew 25% YoY cc, to \$54.5 billion, adding ~\$12 billion in annualized revenue in the quarter. While at the same time operating margins at 46.3% beat consensus by 100 bps and expanded 60 bps YoY, which drove \$0.20 in EPS upside versus consensus to \$4.27, up 23% YoY. That said, the big story this quarter was not the continued top-line out-performance, nor the opex discipline enabling further margin upside, or a stock trading at 20X GAAP EPS putting up 23% YoY earnings growth (although that is very compelling); the big story is the inflections we are seeing in the opportunity ahead for Microsoft, in particular:

1) M365 Copilot Product Cycle Hits Its Stride. Last quarter, Microsoft gave a 15 million seat number for M365 Copilot, which at the time disappointed investors

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Microsoft (MSFT.O, MSFT US)

Software | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$650.00
Shr price, close (Apr 29, 2026)	\$424.46
Mkt cap, curr (mm)	\$3,166,472
52-Week Range	\$555.45-356.28
Fiscal Year Ending	06/25 06/26e 06/27e 06/28e
EPS (\$) **	13.64 17.35 19.79 24.37
Prior EPS (\$) **	- 17.19 19.32 22.76
P/E	36.5 24.5 21.4 17.4
EPS (\$) §	- 16.62 18.96 22.20
Div yld (%)	0.7 0.9 0.9 1.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	3.30	-	3.72a	4.62	4.70
Q2	3.23	-	5.16a	4.76	4.89
Q3	3.46	4.10	4.27	4.79	4.86
Q4	3.65	4.22	4.21	5.16	5.34

e = Morgan Stanley Research estimates, a = Actual Company reported data

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given the solution had been in market over two years and the size of the broader M365 installed base. In FY3Q26, M365 Copilot added over 5 million new seats, with first-party agent monthly active usage having increased 6X YTD, and management expects to add over 5 million seats in Q4. CFO Amy Hood noted, *'our Copilot usage, which I think you've seen in Q3 has really been on a different trajectory than we saw it up to this point. That applies across coding. It applies across productivity. And I have some confidence it's also going to apply across security.'* The company talked to a combination of better product functionality (over 625 updates in the last year), an improving go-to-market motion and lower inhibitions from CIOs on utilizing the full capabilities of the solution as the driver of this inflection. We see evidence on this improving M365 Copilot traction in our CIO survey work as well (see our note, [Microsoft: 4Q25 CIO Survey Takeaways – Secular Trends Driving Share Gains \(14 Jan 2026\)](#)). The survey found 80% of CIOs use or expect to use M365 Copilot in their organizations in the next 12 months, up from 72% in our 2Q25 survey, while the depth of penetration is expected to reach 36% of users in the next twelve months, up from 31% in the 2Q survey. **Why is this so important?** Rightfully so, the durability of the M365 franchise became the core investor debate over the past 4 months, in the face of increasing competition from AI start-ups. As investors come to better understand the positioning of M365 Copilot as the primary user interface for information workers to securely access a broad range of models and agentic tooling in a well governed fashion, within the context of their important work data – this debate tilts much more favorably for Microsoft.

2) Consumptive Revenue Streams Ramping Outside of Azure. Outperforming on Azure in Q3 is important, with Microsoft reporting 39% cc growth versus consensus at 38% and showing a modest acceleration from Q2. Management's guidance looking for an acceleration to 39-40% cc in Q4 and further acceleration into FY27 should help investors feel better on the return profile in the rapid growth of capex. However, the more important consumptive revenue news may be found in the shift of Github Copilot pricing to a usage-based model, to better align pricing to the value being created, and management's view that this dynamic will apply more broadly across the solution set as Agent adoption ramps. As CFO Amy Hood stated it: *'Start to think about it as a licensed business plus a consumption business, and really, applying far more broadly than I think people have thought about that.'* So a growth dynamic that used to be linear and based upon penetration of Copilots into the base, now becomes geometric with a new pricing axis.

3) AI Efficiencies Unlocking Across a Verticalized Solution Stack. Given the higher compute requirements of initial Generative AI workloads, investors have largely viewed AI as a margin dilutive technology cycle for Microsoft. However, Microsoft has actually expanded operating margins by 170 bps over the past two years as the company improves their own efficiency by utilizing the AI tooling themselves – headcount declined in the quarter and management expects overall headcount to fall in FY27 – and the efficiency of the AI solutions themselves improves. As GenAI and Agentic capabilities move from core research (can we do this) to development (how can we do this most effectively), the verticalized stack from Microsoft really starts to shine. We see evidence of this in new models Microsoft is rolling out to support their first party services, like Transcribe-1 (where the company saw a 67% increase in GPU efficiency) and Image-2 (which saw a 260% increase). CFO Amy

Hood well summarized the above conversation: 'So what we need to do is make sure the focus starts with customer usage that creates value. If that creates value and positive output, then the TAM expansion here and **the ROI will be very good.**'

The above dynamics should help to soothe two investor concerns likely to arise out of this print. One, commercial booking growth in quarter was 7% YoY, excluding the impact of a large AI lab, the lowest level we've seen in ten quarters. The increasing shift in contracting towards seats plus a usage component will sap strength from the bookings figures, perhaps making them somewhat less important. The second item, Capex forecasts are likely to move up significantly; our FY27 estimate moves from \$169 billion to \$250 billion as ramping demand (and usage) trends are compounded by rising component pricing. While very compressive to near-term FCF, the strong return profile on that capex should help investors digest the big upwards revision. **Bottom-line, our CIO survey has indicated Microsoft stands to be the biggest wallet share gainer in the Enterprise with the advent of Agentic Computing, and the inflections seen in this quarter start to bring that expectation into the numbers, while the multiple at 20X CY27 EPS fails to reflect this strong positioning. Thus we remain firmly OW.**

What We Liked:

- **>20 Million Paid Copilot Seats – Up 5MM QoQ.** With 15MM copilot seats last quarter +160% YoY, we estimate 2MM to 2.5MM sequential net adds each quarter from 2FQ25 through 2FQ26, on average, so +5MM this quarter marks a much better than expected result for Copilot.
- **New Disclosure: AI ARR, \$37+ Billion, up 123% YoY.** We estimate it took over five years for Microsoft's Microsoft Cloud KPI (O365, Azure, LinkedIn Commercial, Dynamics 365) to reach \$37B, vs ~3 years for AI to hit this threshold, and the Microsoft Cloud largely was a transition (so it was in part cannibalistic), while AI is largely net new.
- **M365 Commercial Cloud Growth Accelerated to 15% in CC...** Up from +14% in cc last quarter. Result driven by ARPU, from contributions from E5 and M365 Copilot, with overall M365 seat growth of 6% YoY.
- **...And M365 Commercial Cloud Growth Guided to Further Acceleration in 4FQ26 (on normalized basis).**
- **3FQ26 Beats...** Microsoft beat consensus revenue and the high-end of guidance across Productivity and Business Processes and Intelligent Cloud segments. Microsoft also beat gross margins, operating margins and EPS.
- **Azure Results Ahead of Guidance/Consensus - In Line with Investor Expectations.** 3FQ26 Azure growth of 39% in cc beat guidance looking for 37-38% in cc and met investor expectations.
- **Strong Azure Guidance Calling for Acceleration in 4FQ26 and 1HFQ27 Off Tougher Comps.** Next-quarter guidance calling for 39% - 40% in cc implies an acceleration from F3Q's 39% in cc. This comes off a meaningfully more difficult YoY compare in Q4. Further, Microsoft guided Azure to modestly accelerate in 2HCY26, which means low 40%'s Azure growth in 1HFY27.
- **3FQ26 Margins and EPS Beat Expectations.** In the quarter, gross margins beat consensus by ~50 bps. Operating income margin of 46.3% came in

above consensus at 45.3%, by ~100 bps. Operating margins were up ~60 bps YoY and Operating income grew 16% in cc. Microsoft was able to deliver \$4.27 in earnings per share, which compared to consensus at \$4.07.

Areas to Monitor:

- **Commercial Bookings Growth.** Commercial Bookings grew (6%) YoY in constant currency. Commercial bookings grew +7% YoY when excluding a large commitment in the year ago period. Regardless, this is down from the last two quarters that saw triple digit YoY growth.
- **Commercial RPO Relatively Flat QoQ.** Despite 99% YoY RPO growth, RPO of \$627 billion was roughly flat QoQ vs. \$625 billion in 2FQ26.
- **4FQ26 Revenue Guidance Below Consensus, Though Shortfall Solely from MPC.** Guidance for \$86.7 - \$87.8 billion below consensus at \$87.8 billion. **Importantly, PBP and IC segments beat consensus and MPC came in below expectations.**
- **4FQ26 Gross and Operating Margins Guided Below Consensus.** At the mid-point of revenue, COGS and Opex guidance, implied gross margin guidance of ~66.2% came in below consensus at 67.2%, and operating margin guidance of ~44.0% was below consensus at 44.7%.
- Generally, **degree of margin upside was more limited** vs. prior quarter.

Risk Reward – Microsoft (MSFT.O)

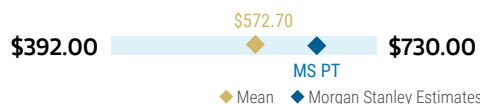
Durability of Earnings Growth & AI Leadership Not Priced-In

PRICE TARGET \$650.00

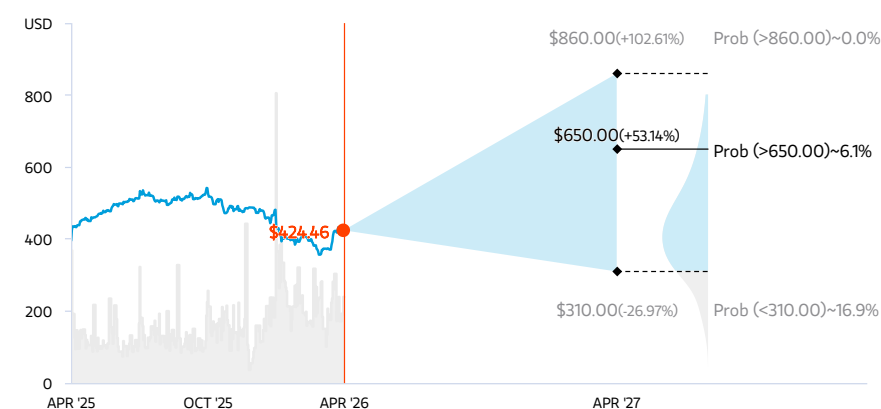
30x Base Case CY27e EPS of \$21.95. 30x PE is a slight premium to large cap software peers, 1.4x PEG is relatively in line with MSFT historical PEG while a premium to peers, justified by Microsoft's strong positioning and strong execution.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



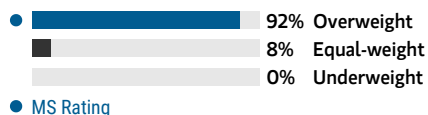
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 29 Apr 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Strong positioning for public cloud adoption & AI, large distribution channels and installed customer base, and expanding margins supports EPS growth. Weaker cyclical environment improves as cloud optimizations complete - LT trends remain durable.
- Teens revenue growth, opex discipline and strong capital return lead to durable mid- to high-teens total return profile long term.
- At ~30x CY27e GAAP EPS, the durability of Microsoft's earnings growth and the company's premium return profile remains underpriced. Multiple expansion and positive estimate revisions will come from greater than expected strength in commercial businesses including Azure.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$860.00

~35x Bull Case CY27e EPS: \$24.62

Azure, O365 & Robust Contribution from AI Drive Top-Line Growth. Acceleration in Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and robust adoption of Azure AI services and Microsoft AI Copilots across business lines drive mid-teens revenue CAGR in the coming years. Operating margins expand to ~49.3% by CY27 and CY27e EPS is \$24.62. ~35x PE represents a premium to large cap software peers, but roughly in line with Hist Avg PEG at ~1.4x given >20% EPS CAGR.

BASE CASE

\$650.00

~30x Base Case CY27e EPS of \$21.95

Azure, M365 & Ramping Contribution from AI Drive Top-Line Growth. Durability of Azure growth, adoption of higher priced M365 Commercial SKUs and continued seat growth, and ramping adoption of Azure AI services & Microsoft AI Copilots across business lines drive low-teens rev CAGR ahead. Operating margins expand beyond ~47.3% by CY27 and CY27e EPS is \$21.95. 30x PE is a premium to large cap software peers, given strong positioning and execution. 1.4x PEG is in line with MSFT historical PEG.

BEAR CASE

\$310.00

~16x Bear Case CY27e EPS: \$19.89

Macro, Scale & Limited AI Adoption Drives Top-Line Growth Deceleration. Azure growth continues deceleration given scale, while M365 reaches penetration and adoption of Azure AI services & Microsoft AI Copilots across business lines remains limited. This drives low double-digit rev CAGR. Operating margins only expand to ~45.3% by CY27 from gross margin pressure and CY27e EPS is \$19.89. ~16x PE is a discount to large cap software peers and a discount on a PEG.

Risk Reward – Microsoft (MSFT.O)

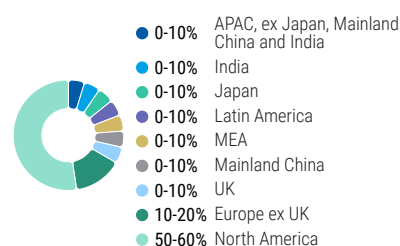
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Azure Revenue Growth (%)	29.7	30.2	26.4	22.4
Server Products On-Prem Growth (%)	(2.0)	(1.0)	(1.0)	(1.0)
Gross Margins (%)	68.8	67.7	66.2	65.7
Operating Margins (%)	45.6	46.6	46.9	47.7
GAAP EPS Growth (%)	15.6	27.2	14.0	23.2

INVESTMENT DRIVERS

- Sustainability of commercial growth, cloud momentum, improving cloud margins
- Improving PC data points

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Cloud adoption accelerates, with Azure as convincing winner
- AI leadership results in substantial revenue contribution over-time
- Operational efficiencies leading to greater than anticipated economies of scale and margin expansion

RISKS TO DOWNSIDE

- Weak macro impacting IT spending
- On-premises cannibalization by Cloud
- Increased investments hurt margin expansion
- AI adoption proves limited

OWNERSHIP POSITIONING

Inst. Owners, % Active	54.4%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	25.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e

Sales / Revenue (\$, mm)	324,992		329,533	331,512
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EBITDA (\$, mm)	178,627		196,656	204,275
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Net income (\$, mm)	117,798		124,105	129,248
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EPS (\$)	16.38		16.62	17.35
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Source: Refinitiv, Morgan Stanley Research
◆ Mean ◆ Morgan Stanley Estimates

Analysis

Exhibit 1: Model Changes

	FQ1:26	FQ2:26	FQ3:26e	FQ4:26e	FY26e	FY27e	FY28e	FY29e
Total Revenue	\$77.67B	\$81.27B	\$82.89B	\$87.70B	\$329.53B	\$388.20B	\$466.44B	\$567.87B
YoY Change	18.4%	16.7%	18.3%	14.7%	17.0%	17.8%	20.2%	21.7%
Old Total Revenue	\$77.67B	\$81.27B	\$81.44B	\$88.23B	\$328.61B	\$377.54B	\$438.92B	\$512.84B
% Change	0.0%	0.0%	1.8%	-0.6%	0.3%	2.8%	6.3%	10.7%
Total Gross Margin	69.0%	68.0%	67.6%	66.3%	67.7%	66.2%	65.7%	65.6%
Old Gross Margin	69.0%	68.0%	67.2%	66.4%	67.6%	66.7%	66.2%	66.3%
New vs. Old	0.0%	0.0%	0.4%	0.0%	0.1%	-0.4%	-0.5%	-0.7%
Operating Expense	\$15.67B	\$17.02B	\$17.66B	\$19.37B	\$69.72B	\$75.26B	\$83.79B	\$94.22B
YoY Change	4.9%	5.2%	9.4%	7.0%	6.7%	8.0%	11.3%	12.4%
Old Operating Expense	\$15.67B	\$17.02B	\$17.87B	\$19.79B	\$70.35B	\$75.61B	\$84.98B	\$96.09B
% Change	0.0%	0.0%	-1.2%	-2.1%	-0.9%	-0.5%	-1.4%	-1.9%
Operating Income	\$37.96B	\$38.28B	\$38.40B	\$38.80B	\$153.44B	\$181.90B	\$222.49B	\$278.40B
Operating Margin	48.9%	47.1%	46.3%	44.2%	46.6%	46.9%	47.7%	49.0%
Old Operating Income	\$37.96B	\$38.28B	\$36.86B	\$38.76B	\$151.85B	\$176.11B	\$205.63B	\$243.84B
Old Operating Margin	48.9%	47.1%	45.3%	43.9%	46.2%	46.6%	46.8%	47.5%
% Change in Op. Income	0.0%	0.0%	4.2%	0.1%	1.0%	3.3%	8.2%	14.2%
EPS	\$3.72	\$5.16	\$4.27	\$4.21	\$17.35	\$19.79	\$24.37	\$30.72
Old EPS	\$3.72	\$5.16	\$4.10	\$4.22	\$17.19	\$19.32	\$22.76	\$27.27
% Change	0.0%	0.0%	4.2%	-0.1%	1.0%	2.4%	7.1%	12.6%
Total FCF	\$25.7B	\$5.9B	\$15.8B	\$28.3B	\$75.6B	\$66.7B	\$87.5B	\$113.2B
YoY Change	33%	-9%	-22%	11%	6%	-12%	31%	29%
Old FCF	\$25.66B	\$5.88B	\$14.55B	\$28.37B	\$74.5B	\$66.9B	\$87.8B	\$113.7B
% Change	0.0%	0.0%	8.6%	-0.3%	1.6%	-0.4%	-0.3%	-0.4%
Total Capex	\$34.9B	\$37.5B	\$31.9B	\$41.1B	\$145.4B	\$250.0B	\$312.6B	\$375.1B
YoY Change	75%	66%	49%	70%	65%	72%	25%	20%
Old Capex	\$34.90B	\$37.50B	\$34.00B	\$37.50B	\$143.9B	\$169.2B	\$189.8B	\$208.8B
% Change	0.0%	0.0%	-6.2%	9.7%	1.1%	47.7%	64.7%	79.7%
Unearned Revenue	\$61.53B	\$54.04B	\$53.68B	\$68.74B	\$68.74B	\$70.27B	\$71.84B	\$73.45B
YoY Change					2%	2%	2%	2%

Source: Company data, Morgan Stanley Research estimates

Financials

Exhibit 2: Income Statement

	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035	FY 2036	FY 2037	FY 2038
Net Revenue	\$168,088	\$198,390	\$211,915	\$245,132	\$281,914	\$379,043	\$81,293	\$82,866	\$89,701	\$125,553	\$98,243	\$98,246	\$99,716	\$104,395	\$108,000	\$166,441	\$165,288	
% YoY Growth	17.5%	18.0%	6.9%	15.7%	14.9%	18.4%	16.7%	18.3%	14.7%	17.8%	16.5%	17.7%	17.9%	19.8%	17.8%	28.2%	21.7%	13.4%
% QoQ Growth						1.6%	4.6%	2.0%	5.8%		3.2%	5.7%	2.2%	6.8%				
Net Revenue c.c.	\$164,586	\$200,277	\$219,264	\$244,345	\$280,595	\$76,734	\$80,077	\$80,576										
% YoY Growth c.c.			9.5%	11.4%	14.8%	17.0%	15.0%	15.0%										
Cost of Goods Sold	\$52,232	\$62,650	\$65,863	\$74,114	\$87,831	\$24,043	\$25,978	\$26,828	\$29,529	\$106,378	\$30,239	\$32,527	\$33,681	\$34,593	\$131,040	\$160,156	\$195,245	
% YoY Growth	13%	20%	5%	13%	19%	20%	19%	22%	23%	21%	26%	25%	26%	17%	23%	22%	22%	
Gross Profit	\$115,856	\$135,740	\$146,052	\$171,018	\$193,083	\$53,540	\$55,295	\$56,088	\$58,112	\$123,155	\$68,004	\$65,719	\$66,035	\$69,166	\$74,960	\$106,285	\$70,043	
Gross Margin	68.9%	68.4%	68.9%	69.8%	68.8%	69.9%	68.0%	67.6%	66.3%	67.7%	66.6%	66.8%	65.5%	66.8%	66.2%	65.7%	65.6%	13.9%
Gross Profit Growth	19.3%	17.1%	7.7%	17.1%	11.4%	17.9%	13.6%	16.4%	11.0%	13.1%	12.3%	14.2%	14.3%	19.9%	15.2%	19.1%	21.7%	
Research & Development	\$20,716	\$24,512	\$27,195	\$29,510	\$32,488	\$8,146	\$8,504	\$8,915	\$9,779	\$35,344	\$8,584	\$8,575	\$9,534	\$10,016	\$36,709	\$39,447	\$42,495	
% of Revenue	12.3%	12.4%	12.8%	12.0%	11.5%	10.5%	10.5%	10.8%	11.2%	10.7%	9.5%	9.0%	9.8%	9.6%	9.5%	8.5%	7.5%	
% YoY Growth	7.5%	18.3%	10.9%	8.5%	10.1%	4.0%	7.4%	8.7%	10.8%	8.8%	5.4%	0.8%	6.0%	2.4%	3.9%	7.5%	7.7%	
Sales and Marketing	\$20,117	\$21,825	\$22,759	\$24,456	\$25,654	\$5,717	\$6,584	\$6,814	\$7,481	\$26,596	\$6,433	\$7,511	\$7,790	\$8,534	\$30,268	\$34,976	\$40,602	
% of Revenue	12.0%	11.0%	10.7%	10.0%	9.1%	7.4%	8.1%	8.2%	8.3%	8.1%	7.1%	7.9%	8.0%	8.2%	7.8%	7.5%	7.1%	
% YoY Growth	2.6%	8.5%	4.3%	7.5%	4.9%	6.0%	2.2%	9.7%	2.7%	3.7%	12.5%	14.1%	14.3%	14.1%	13.8%	15.6%	16.1%	
General & Administrative	\$5,107	\$5,900	\$7,575	\$7,609	\$7,223	\$1,806	\$1,932	\$1,931	\$2,108	\$7,777	\$1,923	\$2,083	\$2,032	\$2,247	\$8,285	\$9,371	\$11,125	
% of Revenue	3.0%	3.0%	3.1%	2.6%	2.3%	2.3%	2.4%	2.3%	2.4%	2.4%	2.1%	2.2%	2.1%	2.2%	2.1%	2.0%	2.0%	
% YoY Growth	40.1%	15.5%	28.4%	0.4%	-5.1%	7.9%	6.0%	11.2%	5.9%	7.7%	6.5%	7.8%	5.3%	6.6%	6.5%	13.1%	18.7%	
One-Time Charges	\$0	\$0	\$(1,171)	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	
Total Operating Expenses	\$45,940	\$52,237	\$56,358	\$61,575	\$65,365	\$15,669	\$17,020	\$17,660	\$19,368	\$69,717	\$16,439	\$18,169	\$19,356	\$20,796	\$75,262	\$83,794	\$94,221	
% of Revenue	27.3%	26.3%	26.6%	25.1%	23.2%	20.2%	20.9%	21.3%	22.1%	21.2%	18.7%	19.0%	19.8%	19.9%	19.4%	18.0%	16.6%	
% YoY Growth	6.7%	13.7%	7.9%	6.2%	4.9%	5.2%	9.4%	5.0%	7.0%	15.2%	5.1%	5.8%	5.6%	5.4%	5.0%	11.3%	12.4%	
Operating Income	\$69,916	\$83,503	\$89,694	\$109,433	\$115,598	\$37,961	\$38,795	\$38,398	\$38,805	\$153,439	\$42,565	\$44,074	\$44,001	\$48,310	\$181,899	\$117,132	\$75,847	
Operating Margin	41.6%	42.1%	42.3%	44.6%	45.6%	48.9%	47.1%	46.3%	44.2%	46.6%	47.9%	47.0%	45.7%	46.9%	46.9%	47.7%	49.8%	
% YoY Growth	32.0%	19.3%	7.6%	22.0%	17.4%	24.3%	20.9%	20.0%	13.1%	19.4%	14.1%	17.5%	16.4%	26.1%	18.5%	22.3%	25.1%	
EBITDA	\$81,602	\$97,843	\$103,555	\$131,720	\$162,681	\$51,022	\$47,473	\$48,565	\$49,596	\$196,656	\$54,894	\$57,405	\$58,569	\$63,599	\$235,116	\$296,720	\$381,805	
% YoY Growth	24.1%	19.9%	5.8%	27.2%	23.5%	34.5%	23.4%	19.2%	8.9%	20.9%	7.6%	21.5%	20.6%	29.0%	19.6%	26.2%	28.7%	
Net Interest Income and Other Income	\$1,186	\$333	\$788	\$(1,646)	\$(4,901)	\$(3,660)	\$9,971	\$942	\$(100)	\$7,153	\$(241)	\$(265)	\$(333)	\$(286)	\$(1,124)	\$(964)	\$(444)	
Pre-Tax Profit (incl. Stock Compensation)	\$71,102	\$83,716	\$90,482	\$107,787	\$123,627	\$34,301	\$48,246	\$39,340	\$38,704	\$160,501	\$43,654	\$44,709	\$44,357	\$48,454	\$180,775	\$221,328	\$277,956	
Provision / (Benefit) for Income Taxes	\$9,831	\$14,269	\$17,175	\$19,651	\$21,795	\$6,554	\$9,788	\$7,562	\$7,440	\$31,344	\$8,276	\$8,594	\$8,526	\$9,352	\$34,749	\$42,582	\$53,429	
Tax Rate	13.8%	17.0%	19.0%	18.2%	17.6%	19.1%	20.3%	19.2%	19.5%	19.2%	19.2%	19.2%	19.2%	19.2%	19.2%	19.2%	19.2%	
Operating Net Income (incl. Stock Comp)	\$61,271	\$69,447	\$73,307	\$88,136	\$101,832	\$27,747	\$38,458	\$31,778	\$31,265	\$129,158	\$34,778	\$36,115	\$35,831	\$39,102	\$146,026	\$178,745	\$224,527	
% YoY Growth	35.4%	13.3%	5.6%	20.2%	15.5%	12.5%	59.5%	22.1%	14.8%	26.9%	25.3%	-6.1%	12.8%	25.7%	13.0%	22.5%	25.5%	
Operating EPS	\$8.05	\$9.21	\$9.81	\$11.80	\$13.64	\$3.72	\$5.16	\$4.27	\$4.21	\$17.25	\$4.70	\$4.89	\$4.86	\$5.34	\$19.79	\$24.37	\$30.72	
% YoY Growth	38.7%	14.4%	6.5%	28.3%	15.6%	12.5%	59.7%	23.3%	15.4%	27.2%	26.4%	-5.1%	13.5%	26.7%	14.0%	23.2%	26.8%	

Source: Company data, Morgan Stanley Research estimates

[illegible]

Exhibit 4: Balance Sheet

	FY 2022	FY 2023	FY 2024	FY 2025	Sep-25	Dec-25	Mar-26	Jun-26E	FY 2026E	Sep-26E	Dec-26E	Mar-27E	Jun-27E	FY 2027E	FY 2028E	FY 2029E
Assets:																
Cash & Cash Equivalents	\$13,931	\$34,704	\$18,315	\$30,242	\$28,849	\$24,296	\$32,105	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000
Short-Term Investments	90,826	76,558	57,228	64,323	73,163	65,166	46,167	67,754	67,754	65,386	57,629	64,054	72,932	72,932	90,992	125,917
Accounts Receivable	44,261	48,688	56,924	69,905	52,894	56,535	60,041	75,331	75,331	63,620	66,550	70,792	89,613	89,613	108,439	132,915
Inventory	3,742	2,500	1,246	938	1,130	1,059	1,219	1,153	1,153	1,421	1,326	1,530	1,351	1,351	1,659	2,025
Current Deferred Taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	16,924	21,807	26,021	25,723	33,030	33,134	35,797	27,518	27,518	35,708	35,372	43,107	32,044	32,044	36,939	41,925
Current Assets	\$169,684	\$184,257	\$159,734	\$191,131	\$189,066	\$180,190	\$175,329	\$196,756	\$196,756	\$191,135	\$185,877	\$204,484	\$220,941	\$220,941	\$263,029	\$327,783
Property & Equipment	74,398	95,641	135,591	204,966	230,861	261,126	283,228	303,586	303,586	332,405	372,303	412,308	449,666	449,666	624,940	821,037
Equity and Other Investments	6,891	9,879	14,601	15,405	11,465	21,202	33,683	36,282	36,282	38,881	41,480	44,079	46,678	46,678	57,074	67,470
Goodwill	67,524	67,886	119,220	119,590	119,497	119,622	119,661	119,661	119,661	119,661	119,661	119,661	119,661	119,661	119,661	119,661
Other Intangibles	11,298	9,366	27,597	22,604	21,236	20,289	19,325	18,328	18,328	17,577	16,825	16,070	15,314	15,314	13,228	12,023
Long-Term Deferred Taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Assets	35,045	44,947	55,421	65,388	64,226	62,873	63,002	64,529	64,529	58,253	59,851	66,731	66,794	66,794	65,701	63,962
Total Assets	\$364,840	\$411,976	\$512,163	\$619,003	\$636,351	\$665,302	\$694,228	\$739,141	\$739,141	\$757,913	\$795,997	\$863,333	\$919,053	\$919,053	\$1,143,633	\$1,411,936
Liabilities & Equity:																
Accounts Payable	\$19,000	\$18,095	\$21,996	\$27,724	\$32,580	\$37,328	\$37,513	\$34,091	\$34,091	\$42,633	\$46,738	\$48,941	\$39,179	\$39,179	\$48,109	\$58,729
ST Debt	\$2,749	\$5,247	\$8,942	\$2,999	\$7,832	\$4,837	\$8,839	\$8,839	\$8,839	\$8,839	\$8,839	\$8,839	\$8,839	\$8,839	\$8,839	\$8,839
Accrued Compensation and Benefits	10,661	11,009	12,564	13,709	9,201	10,103	11,270	17,765	17,765	9,947	10,785	21,644	29,058	29,058	43,864	62,515
Current Income Taxes	4,067	4,152	5,017	7,211	3,655	2,050	3,363	16,298	16,298	9,754	12,630	12,889	20,488	20,488	66,276	108,168
Current Unearned Revenue	45,538	50,901	57,582	64,555	58,987	51,376	50,924	62,557	62,557	57,876	53,518	52,472	63,944	63,944	65,371	66,841
Current Deferred Taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Securities Lending Payable	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	13,067	14,745	19,185	25,020	22,741	24,311	24,552	28,316	28,316	24,585	25,953	34,653	42,883	42,883	43,508	44,077
Total Current Liabilities	\$95,082	\$104,149	\$125,286	\$141,218	\$134,996	\$130,005	\$136,661	\$167,865	\$167,865	\$153,634	\$158,463	\$179,438	\$204,389	\$204,389	\$275,968	\$349,169
Long-Term Unearned Revenue	2,870	2,912	2,602	2,710	2,546	2,668	2,753	6,187	6,187	5,724	5,293	5,190	6,324	6,324	6,465	6,611
Other Long-Term Liabilities	53,314	56,702	73,110	91,444	100,357	106,329	109,024	95,878	95,878	103,184	109,494	129,094	128,527	128,527	143,328	160,792
Long term Debt	47,032	41,990	42,688	40,152	35,376	35,425	31,423	31,423	31,423	31,423	31,423	31,423	31,423	31,423	31,423	31,423
Minority Interest	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Liabilities	\$198,298	\$205,753	\$243,686	\$275,524	\$273,275	\$274,427	\$279,861	\$301,353	\$301,353	\$293,965	\$304,673	\$345,145	\$370,664	\$370,664	\$457,184	\$547,995
Preferred Stock	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Common Stock and Paid-In Capital	86,939	93,718	100,923	109,095	110,964	112,788	115,069	118,706	118,706	122,326	125,961	129,611	133,278	133,278	148,102	163,183
Retained Earnings	84,281	118,848	173,144	237,731	254,873	280,789	302,526	322,310	322,310	344,850	368,592	391,806	418,340	418,340	541,575	703,986
Accumulated Other Comprehensive Income	(4,678)	(6,343)	(5,590)	(3,347)	(2,761)	(2,702)	(3,228)	(3,228)	(3,228)	(3,228)	(3,228)	(3,228)	(3,228)	(3,228)	(3,228)	(3,228)
Shareholders' Equity	\$166,542	\$206,223	\$268,477	\$343,479	\$363,076	\$390,875	\$414,367	\$437,788	\$437,788	\$463,947	\$491,324	\$518,189	\$548,389	\$548,389	\$686,448	\$863,942
Total Liabilities & Equity	\$364,840	\$411,976	\$512,163	\$619,003	\$636,351	\$665,302	\$694,228	\$739,141	\$739,141	\$757,913	\$795,997	\$863,333	\$919,053	\$919,053	\$1,143,633	\$1,411,936

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Cash Flow Statement

	FY 2022	FY 2023	FY 2024	FY 2025	Sep-25	Dec-25	Mar-26	Jun-26E	FY 2026E	Sep-26E	Dec-26E	Mar-27E	Jun-27E	FY 2027E	FY 2028E	FY 2029E
Net Income	\$72,738	\$72,361	\$88,136	\$101,832	\$27,747	\$38,458	\$31,778	\$31,265	\$129,248	\$34,778	\$36,115	\$35,831	\$39,302	\$146,026	\$178,945	\$224,527
Depreciation and Amortization	14,460	13,861	22,287	34,153	13,061	9,198	10,167	10,791	43,217	11,599	12,721	13,878	15,019	53,217	74,229	103,404
Stock-Based Compensation	7,502	9,611	10,734	11,974	2,983	3,219	3,081	3,096	12,379	3,112	3,127	3,143	3,159	12,541	12,794	13,052
Tax Benefit from Exercise of Stock Options	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Deferred Taxes	(5,702)	(6,059)	(4,738)	(7,056)	2,491	4,446	2,602	0	9,539	0	0	0	0	0	0	0
(Gain) / Loss on Sale of Short-Term Investments	(409)	196	305	609	(1,007)	(9,931)	(1,280)	0	(12,218)	0	0	0	0	0	0	0
Acquired In-Process R&D	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Cumulative Change in Accounting	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Items	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Funds from Operations	\$88,589	\$89,970	\$116,724	\$141,512	\$45,275	\$45,390	\$46,348	\$45,152	\$182,165	\$49,489	\$51,963	\$52,852	\$57,480	\$211,784	\$265,968	\$340,983
(Inc.) Dec. in Accounts Receivable	(6,834)	(4,087)	(7,191)	(10,581)	16,490	(3,436)	(4,707)	(15,290)	(6,943)	11,711	(2,930)	(4,242)	(18,821)	(14,282)	(18,826)	(24,476)
(Inc.) Dec. in Other Current Assets	(1,832)	(749)	(364)	(2,736)	(1,354)	689	597	8,344	8,276	(8,457)	431	(7,940)	11,242	(4,724)	(5,202)	(5,352)
(Inc.) Dec. in Other Long-Term Assets	(2,805)	(2,833)	(6,817)	(2,950)	(394)	(1,288)	(932)	(1,527)	(4,141)	6,276	(1,598)	(6,880)	(63)	(2,265)	1,093	1,739
(Inc.) Dec. in Other Current Liabilities	5,287	(449)	8,412	6,492	(6,121)	3,999	4,859	19,571	22,308	(9,550)	9,187	22,021	13,480	35,138	70,151	71,731
(Inc.) Dec. in Other Long-Term Liabilities	1,521	195	2,436	(1,013)	(3,421)	(2,113)	680	(13,146)	(18,000)	7,306	6,310	19,600	(567)	32,650	14,800	17,464
Booking of Unearned Revenue	111,297	111,723	147,678	185,314	44,611	44,719	54,633	67,403	211,366	48,887	51,589	58,034	69,129	227,638	245,773	265,356
Recognition of Unearned Revenue	(106,188)	(106,188)	(142,330)	(179,876)	(50,029)	(52,202)	(54,799)	(52,336)	(209,366)	(54,031)	(56,378)	(59,183)	(56,523)	(226,115)	(244,204)	(263,741)
Change in Net Working Capital	\$446	(\$2,388)	\$1,824	(\$5,350)	(\$218)	(\$9,632)	\$331	\$13,020	\$3,501	\$2,141	\$6,610	\$21,410	\$17,877	\$48,039	\$63,585	\$67,722
Cash Flow from Operations	\$89,035	\$87,582	\$118,548	\$136,162	\$45,057	\$35,758	\$46,679	\$58,172	\$185,666	\$51,631	\$58,573	\$74,262	\$75,357	\$259,824	\$329,553	\$403,704
YoY Growth	16%	-2%	35%	15%	32%	60%	26%	36%	36%	15%	64%	59%	30%	40%	27%	23%
Capital Expenditures	(23,886)	(28,107)	(44,477)	(64,551)	(19,394)	(29,876)	(30,876)	(29,888)	(110,034)	(38,905)	(51,088)	(52,335)	(50,810)	(193,138)	(242,018)	(290,507)
Acquisitions, Net of Cash Acquired	(22,038)	(1,670)	(69,132)	(5,978)	(578)	(455)	(258)	(263)	(1,554)	(763)	(778)	(794)	(810)	(3,145)	(5,399)	(7,790)
Purchase of Short-Term Investments	(26,456)	(37,651)	(17,732)	(29,775)	(17,671)	(9,845)	(12,006)	(40,587)	(80,109)	(40,133)	(34,743)	(48,925)	(51,378)	(175,179)	(188,060)	(204,926)
Proceeds from Sales/Maturities of Short-Term	44,894	47,864	35,669	25,388	9,293	18,108	18,334	19,000	64,735	42,500	42,500	42,500	42,500	170,000	170,000	170,000
Proceeds from Sales/Maturities of Long-Term	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	(2,825)	(3,116)	(1,298)	2,317	(6,209)	(637)	(2,599)	(2,599)	(12,044)	(2,599)	(2,599)	(2,599)	(2,599)	(10,396)	(10,396)	(10,396)
Net Cash Used in Investing Activities	(\$30,311)	(\$22,680)	(\$96,970)	(\$72,599)	(\$34,559)	(\$22,705)	(\$27,405)	(\$54,337)	(\$139,006)	(\$39,900)	(\$46,708)	(\$62,153)	(\$63,097)	(\$211,858)	(\$275,872)	(\$343,619)
Debt issuance (repayment)	(9,023)	(2,750)	575	(8,962)	0	(3,000)	0	0	(3,000)	0	0	0	0	0	0	0
Common Stock Dividends	(18,135)	(19,800)	(21,771)	(24,082)	(6,169)	(6,762)	(6,756)	(6,715)	(26,402)	(7,353)	(7,342)	(7,334)	(7,326)	(29,355)	(32,142)	(35,206)
Proceeds from Sale of Common Stock	1,841	1,866	2,002	2,056	689	259	541	541	2,030	508	508	508	508	2,030	2,030	2,030
Repurchase of Common Stock (Treasury Share)	(32,696)	(22,245)	(17,254)	(18,420)	(5,650)	(7,415)	(4,627)	(4,766)	(22,458)	(4,885)	(5,032)	(5,283)	(5,442)	(20,641)	(23,568)	(26,910)
Other	(863)	(1,067)	(1,196)	(2,819)	(669)	(609)	(609)	(1,877)	0	0	0	0	0	0	0	0
Net Cash Provided by Financing Activities	(\$58,876)	(\$43,935)	(\$37,571)	(\$51,699)	(\$11,799)	(\$17,617)	(\$1,351)	(\$10,940)	(\$51,707)	(\$11,731)	(\$11,866)	(\$12,110)	(\$12,260)	(\$47,966)	(\$53,680)	(\$60,086)
Translation Gains (Losses)	(141)	(194)	210	(63)	(92)	11	(114)	0	(195)	0	0	0	0	0	0	0
Inc. (Dec.) in Cash and Cash Equivalents	(\$23,133)	(\$16,389)	\$11,927	\$13,923	(\$3,993)	(\$4,553)	\$7,809	\$7,105	(\$5,242)	\$0	(\$0)	\$0	\$0	\$0	(\$0)	\$0
Beginning Cash and Cash Equivalents	14,224	13,931	34,704	18,315	30,242	28,849	24,296	32,105	30,242	25,000	25,000	25,000	25,000	25,000	25,000	25,000
Ending Cash and Cash Equivalents	\$13,931	\$34,704	\$18,315	\$30,242	\$28,849	\$24,296	\$32,105	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of March 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

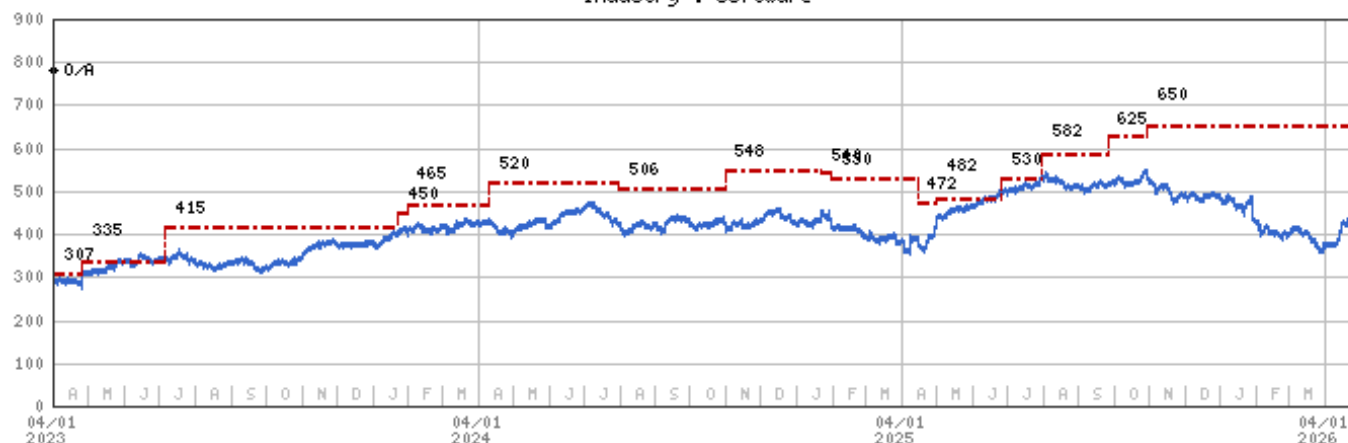
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Microsoft (MSFT.O) - As of 04/30/26 GMT in USD
Industry : Software



Stock Rating History: 5/1/21 : 0/A

Price Target History: 4/28/21 : 300; 7/28/21 : 305; 9/14/21 : 331; 10/27/21 : 364; 1/26/22 : 372; 7/12/22 : 354; 10/14/22 : 325; 10/26/22 : 307; 4/26/23 : 335; 7/6/23 : 415; 1/23/24 : 450; 1/31/24 : 465; 4/11/24 : 520; 7/31/24 : 506; 10/31/24 : 548; 1/22/25 : 540; 1/30/25 : 530; 4/15/25 : 472; 5/1/25 : 482; 6/26/25 : 530; 7/31/25 : 582; 9/26/25 : 625; 10/30/25 : 650

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/29/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$37.25
Blackline Inc (BL.O)	O (09/29/2024)	\$31.16
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$72.32
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$143.85
Navan Inc (NAVN.O)	O (11/24/2025)	\$17.13
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	\$55.18
Vertex Inc. (VERX.O)	O (01/17/2024)	\$12.27
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$7.18
Autodesk (ADSK.O)	O (08/23/2024)	\$235.87
Figma Inc (FIG.N)	E (08/25/2025)	\$16.86
Five9 Inc (FIVN.O)	E (10/10/2022)	\$17.05
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$8.25
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$85.76
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$227.25
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$19.89
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$6.47
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$29.64
NICE Ltd. (NICE.O)	O (10/16/2023)	\$101.87
RingCentral Inc (RNG.N)	E (08/08/2023)	\$40.19
Semrush Holdings Inc -A (SEMR.N)	E (08/05/2025)	\$12.00
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$4.99
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$5.92
Twilio Inc (TWLO.N)	O (02/24/2025)	\$140.91
Wix.Com Ltd (WIX.O)	O (01/13/2025)	\$75.71
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$17.81
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$6.13

Josh Baer, CFA

Asana Inc (ASAN.N)	U (05/20/2025)	\$6.40
Box Inc (BOX.N)	E (05/21/2024)	\$24.66
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$4.82
Commerce.com Inc. (CMRC.O)	++	\$2.79
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$6.11
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$96.87
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$18.45
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$46.92
Lightspeed POS Inc. (LSPD.N)	E (02/18/2021)	\$9.06
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$66.66
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$141.19
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.81
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$59.88
Toast, Inc. (TOST.N)	O (12/16/2021)	\$28.62
Udemy Inc (UDMY.O)		\$4.86
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$15.43
Zoom Communications (ZM.O)	E (10/11/2022)	\$95.76

Keith Weiss, CFA

Adobe Inc. (ADBE.O)	E (09/24/2025)	\$243.57
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$70.49
Cloudflare Inc (NET.N)	O (12/02/2024)	\$211.97
CoreWeave (CRWV.O)	E (04/22/2025)	\$114.19
Intuit (INTU.O)	O (02/26/2025)	\$395.08
Microsoft (MSFT.O)	O (01/13/2016)	\$424.46
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$163.83
Salesforce, Inc. (CRM.N)	O (12/21/2023)	\$181.22
Samsara Inc (IOT.N)	E (03/23/2023)	\$29.37
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$88.89
Shopify Inc (SHOP.O)	O (04/19/2024)	\$121.26
Workday Inc (WDAY.O)	E (02/19/2025)	\$122.43

Meta A Marshall

Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$139.96
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$452.38
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$86.11
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$19.14
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$9.95
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$76.16
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$181.54
Qualys Inc (QLYS.O)	U (02/09/2021)	\$89.60
Rapid7 Inc (RPD.O)	E (08/11/2015)	\$5.85
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$11.57
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$14.70
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$21.47
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$27.29
Zscaler Inc (ZS.O)	E (04/22/2026)	\$134.73

Sanjit K Singh

Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$99.80
Appian Corp (APPN.O)	E (04/30/2026)	\$21.72
C3.ai (AI.N)	U (01/04/2021)	\$8.86
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$133.98
Dynatrace Inc (DT.N)	E (02/13/2024)	\$36.40
Elastic NV (ESTC.N)	O (12/16/2024)	\$47.40
GitLab Inc (GTLB.O)	E (01/12/2026)	\$21.91

JFrog Ltd. (FROG.O)	O (12/21/2023)	\$46.27
MongoDB Inc (MDB.O)	O (04/12/2023)	\$258.29
PagerDuty, Inc. (PD.N)	E (01/24/2024)	\$6.65
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$137.97
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$141.22
UiPath Inc (PATH.N)	E (09/07/2022)	\$10.38

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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